Gurnam Singh vs Central Bureau Of Investigation on 28 November, 2022

Author: Jasmeet Singh

Bench: Jasmeet Singh

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* IN THE HIGH COURT OF DELHI AT NEW DELHI

\+ BAIL APPLN. 2069/2022

GURNAM SINGH ..

Through: Mr. Chinmaya Seth, Mr
Mishra, Mr. A.K. Seth

versus

CENTRAL BUREAU OF INVESTIGATION ..

Through: Mr. Ripu Daman Bhardw

CORAM:

HON'BLE MR. JUSTICE JASMEET SINGH

ORDER

% 28.11.2022

1. This is a bail application seekin

RCBD1/2014/E/0004/CBI/BS&FC/New Delhi case No. 23/2021 (old case No. 43/2019) u/s 120B read with 409/411/420/467/468/474/471 IPC read with Section 4 & 5 read with Section 6 of Prize Chits & Money Circulation Schemes (Banning) Act, 1978.

2. As per the petition, it is stated that the applicant was a Director in M/s PACL from 10.01.1998 to 05.02.2009 for a period of more than 11 years.

3. It is stated that an FIR was registered, pursuant to the directions of Supreme Court in Civil Appeal No. 6572/2004 in 'PGF Limited vs. Union of India', wherein it was revealed that two companies, namely PGF Limited and PACL Limited were carrying out collective investment schemes (C/S) in the garb of sale and development of agricultural land. The companies were seeking investments from innocent persons in land without the companies having ownership of the said land. The investors were promised fixed return on land and also created documentation to show a reverse sale of land.

4. It is stated that one Nirmal Singh Bhangoo is the main accused and a Director in both PACL and PGF and was the person who was doing the entire fraud.

5. It is stated that PACL received about 5,46,00,000 number of active investments and raised a principle of about 45,18,40,000/- . PGF also raised about 332 crores.

6. An FIR was registered bearing No. RCBD/I/2014/E/0004 dated 19.02.2014 u/s 120B read with Section 420. The applicant was not named in the said FIR.

7. After investigation, a chargesheet was filed in the year 2016, wherein the applicant again was not named in the chargesheet. The supplementary chargesheet was filed on 31.12.2021, wherein the charges against the applicant were as under:

> "61. Shri Gurnam Singh: He was one of the Directors of M/s. PACL Limited from 10.01.1998 to 05.02.2009. He was also one of the shareholders of M/s. PACL Limited. He is a relative of the prime accused Shri Nirmal Singh Bangoo. He conspired with the accused Promoters / Directors of the Pearls Group i.e. Shri Nirmal Singh Bangoo, Shri Gurneet Singh, Shri Sukhdev Singh, Shri Subrata Bhattacharya and others, to cheat the investors by illegally operating investment schemes, offering lucrative returns to the gullible investors, which were being operated without any statutory approval. These schemes were similar to the Collective Investment Schemes, where the investors had no control over their investments. In order to deliberately conceal such illegal business, maturity payments to the investors were being made through associates companies. Funds to these companies were provided by M/s. PACL Ltd. Funds were collected from investors under the garb of sale of land and development of such land on behalf of investors. Around 64% of the investment was collected for development of land etc., however, no such land development had taken place. Fake bogus invoices were raised falsely claiming development of land for misappropriation of funds. As Director of M/s. PACL Limited, Shri Gurnam Singh had attended board meetings of M/s. PACL Limited where decisions were taken to operate the company."

8. The applicant filed an application for grant of anticipatory bail which was dismissed as withdrawn as there was no apprehension of arrest. Since the applicant was summoned, the applicant filed a regular bail application, wherein initially the applicant was granted interim protection. Subsequently, the regular bail application was rejected by the Sessions Court on 04.06.2022 and the applicant surrendered on the same date. From 04.06.2022, the applicant has been in judicial custody.

9. Mr. Bhardwaj, learned SPP has stated that the applicant was a Director in PACL for a period of 11 years and was actively participating in board meetings. Hence, he was the party in the entire fraud.

10. I have heard learned counsel for the parties.

11. The charges against the applicant are of a generic nature. There is no specific allegation as to the applicant being the person who has masterminded the entire fraud or was actively a part of the fraud. There is no allegation with regard to the way or manner in which the applicant defrauded numerous innocent investors.

12. Even though, in the present case, the charges against the company are serious and grave, the same cannot be solely a ground of denial for bail to the applicant.

13. In the present case, the applicant does not have any criminal antecedents. There is no money trail which is pointing that the applicant has misappropriated funds collected from the general public.

14. The Coordinate Bench has already granted bail to co-accused on 13.06.2022 on similar grounds. In the present case, chargesheeet after investigation has already been filed. There are 441 witnesses named in the chargesheet. The evidence has not started as yet as charges are yet to be framed. The same will take considerable time.

15. I am of the view that it is not a case where the evidence would be concluded in the near future.

16. For all the aforesaid reasons, the applicant is entitled to be released on bail on the following terms and conditions:

a) The applicant will furnish a personal bond in the sum of 5,00,000/- [Rupees Five lakhs], with one surety in the like amount, to the satisfaction of the Trial Court.

b) The applicant will furnish his residential address to the IO, which will be verified by the IO. The applicant will remain resident at the said address and will give prior information to the Special Court and the IO in the event of any change of address.

c) The applicant will not leave the country without the permission of the Court. His passport, if any, will be surrendered to the Court. In the event the applicant's passport is already in custody of any Court in connection with any other proceedings, an affidavit to that effect will be filed before the Court. The IO will also verify the position and file a verification report before the Court.

d) The applicant will give his mobile numbers to the IO and ensure that the said mobile numbers are kept in working condition and are reachable at all times.

e) The applicant will attend the Court on each and every date of hearing, unless exempted by the Court under exceptional circumstances.

f) The applicant will report to the Officer-in-Charge of the police station having jurisdiction over their place of residence on the first Monday of every calendar month at 04:00 PM, and will not be kept waiting for more than 30 minutes.

g) The applicant will not tamper with the evidence or attempt to influence any of the witnesses in the case or act in any other manner prejudicial to the trial.

17. The application is disposed of in the above terms.

JASMEET SINGH, J NOVEMBER 28, 2022/dm Click here to check corrigendum, if any